

Microsoft Corporation

Business, AI Strategy, and Financial Snapshot

Prepared as a short company-information PDF with business-focused data. This PDF intentionally contains different content from the TXT file.

Company	Microsoft Corporation
Ticker	MSFT on Nasdaq
Headquarters	Redmond, Washington, United States
CEO	Satya Nadella
Main theme	Cloud, AI, productivity software, developer tools, gaming, and enterprise platforms

Sources used: Microsoft 2025 Annual Report, Microsoft Mission and Values page, and Microsoft FY2025 Form 10-K filing.

1. Why Microsoft is a strong company to study

Microsoft is a strong company to study because it connects multiple modern technology layers: operating systems, productivity apps, cloud infrastructure, enterprise security, developer tools, AI assistants, professional networking, and gaming. This makes it more than a single-product company; it is a platform ecosystem used by individuals, developers, startups, enterprises, schools, governments, and nonprofits.

2. Business model overview

Area	Examples	How Microsoft earns value
Productivity and business processes	Microsoft 365, Teams, Office apps, SharePoint, OneDrive, Dynamics 365, etc.	Software licensing, ads, and business solutions
Intelligent cloud	Azure, server products, cloud services, data, AI, security, developer tools, etc.	Cloud subscriptions, support, and enterprise solutions
More personal computing	Windows, Surface, Xbox, gaming content, search, etc.	Hardware sales, gaming subscriptions, app store, and advertising

3. FY2025 financial highlights

Metric	FY2025 figure	Simple meaning
Revenue	\$281.7 billion, up 15%	Very large demand across cloud, AI, productivity, gaming, and enterprise
Operating income	\$128.5 billion, up 17%	Shows strong profitability and operating scale.
Azure revenue	Above \$75 billion, up 34%	Azure is a major growth engine and a foundation for AI infrastructure.
Microsoft Cloud revenue	\$168.9 billion, up 23%	Cloud has become the core business growth driver.

4. AI and cloud strategy

- Microsoft is pushing AI into the tools people already use, especially Microsoft 365 Copilot, Teams, Word, Excel, PowerPoint, Outlook, and business workflows.
- Azure gives Microsoft the infrastructure layer for AI workloads, model deployment, data platforms, security, and enterprise cloud adoption.
- GitHub Copilot helps Microsoft stay important to developers by making AI-assisted coding part of daily software engineering.
- Copilot Studio allows companies to build custom agents and automate tasks using low-code/no-code tools.
- The company emphasizes security, quality, and AI innovation as major priorities while scaling its cloud and AI products.

5. Strengths, risks, and final view

Strengths	Risks / challenges
Diversified revenue; strong enterprise trust; large developer ecosystem	High AI infra costs; intense competition in Microsoft 365, GitHub, LinkedIn, etc.

Final view: Microsoft is attractive to study because it demonstrates how a mature technology company can reinvent itself around cloud and AI without abandoning its existing productivity, developer, operating-system, and enterprise strengths.

Sources

Microsoft 2025 Annual Report: <https://www.microsoft.com/investor/reports/ar25/index.html>

Microsoft Mission and Values: <https://www.microsoft.com/en-us/about>

Microsoft FY2025 Form 10-K filing: <https://microsoft.gcs-web.com/sec-filings/sec-filing/10-k/0000950170-25-100235>